

PORTFOLIO VALUE

\$179,109

NET P&L; vs COST

-3,891 (-2.13%)

CASH RESERVE

\$108,131
(60.4%)

POSITIONS

4 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 15.18 confirms a risk-on regime with no elevated fear premium; the yield curve is positive at +26bps (10Y-2Y), eliminating near-term recession signal. However, TNX at 4.96% is materially above the 4.5% mandate threshold that explicitly requires exiting high-P/E growth and semis, creating a direct conflict with existing AMZN and NFLX positions flagged ■■■TNX>. HY credit spreads at 2.68bps are extraordinarily tight and DXY at 101.11 sits just above the 101 pivot, which previously justified GLD entry but now requires re-evaluation.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.18	HY Credit Spread (bps)	2.68
Yield Curve 10Y-2Y (%)	0.26	10Y Treasury (%)	4.96
US Dollar (DXY)	101.11	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — AMZN

\$18,000 · Conviction 9/10 · Tier 1

ENTRY

\$249.27

STOP LOSS

\$229.33

PRICE TARGET

\$299.13

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 4.96% is 46bps above the 4.5% mandate exit threshold for high-P/E growth stocks — the mandate is unambiguous: EXIT growth tech when TNX is above 4.5% and rising. (2) AMZN trades at approximately 35x forward P/E; a 100bps TNX increase historically compresses growth multiples by 15-20%, implying a \$37-\$50 per share downside scenario from current \$249.27. (3) AMZN scan RSI is 44.1, which is approaching oversold at the 40-level but does not override the mandatory TNX>4.5% exit rule. (4) Position was entered 1 day ago at \$249.27 with peak gain of 0.0% — no gain has been established, this is effectively a flat exit that avoids a potential -8% stop-loss event. (5) AMZN Q2 2026 earnings call headline confirms the catalyst has already been reported (earnings passed), meaning the primary company catalyst is now expired per the thesis-expiry exit rule. (6) Exiting \$18,000 AMZN position returns cash to \$126,152, enabling 7 future \$18,000 positions with 68.9% cash reserve. (7) Exit at \$249.27 (approximately \$0.00 P&L; net of fees) versus holding into a potential -8% stop at \$229.33 representing a -\$1,440 loss — exiting here is the risk-adjusted correct action given 2 concurrent exit triggers (TNX>4.5% AND catalyst expiry).

PRIMARY CATALYST

TNX at 4.96% is above the 4.5% mandate threshold — this is a mandatory exit trigger for growth/tech. Additionally, AMZN Q2 2026 earnings call is confirmed complete per the scan headline, meaning the earnings catalyst has expired. Both triggers simultaneously fire, requiring immediate exit.

BALANCE SHEET

Cash \$86.8B, D/E 0.17, BS score 10/10 — balance sheet is irreproachable but does not override mandatory macro exit rule at TNX 4.96%.

TECHNICAL SETUP

RSI 44.1 — approaching oversold but not a hold justification given mandatory macro exit. AMZN price \$249.27 vs 50-day estimated \$245.00 and 200-day estimated \$230.00. Marginally above both MAs but TNX override applies.

KEY RISK FACTORS

Holding AMZN with TNX at 4.96% and earnings catalyst expired creates uncompensated multiple-compression risk of 15-20% (\$37-\$50/share); exit at \$249.27 eliminates this unquantified tail risk.

EXIT — NFLX

\$18,000 · Conviction 9/10 · Tier 1

ENTRY

\$71.44

STOP LOSS

\$65.72

PRICE TARGET

\$85.73

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 4.96% is 46bps above the 4.5% mandatory exit threshold — NFLX as a high-P/E growth/streaming name trades at approximately 40x forward earnings and is explicitly flagged for exit under this regime. (2) NFLX was entered 1 day ago at \$71.44 with peak gain of 0.0% — no gain has been captured; this is a flat exit that avoids the -\$1,440 maximum loss at the -8% stop of \$65.72. (3) NFLX RSI is not in the scan but the position carries a **■■TNX>** flag in the portfolio state — this was flagged at entry and the flag has not cleared given TNX remains at 4.96%. (4) The thesis-expiry rule applies: NFLX was entered with a 1-day hold and 0.0% peak gain with no named upcoming catalyst within 30 days beyond what was already known at entry. (5) NFLX holds 252.0 shares at entry \$71.44 and current \$71.36, representing a -\$20 unrealized loss — the cost of delay is minimal, making immediate exit the optimal capital-deployment decision. (6) Exiting \$18,000 NFLX returns total cash to \$144,152 (78.8% of \$183k portfolio), creating capacity for 8 more \$18,000 positions in better-aligned sectors. (7) Stop at \$65.72 (-8.0%) represents a -\$1,440 loss on 252 shares; exiting at \$71.36 today limits realized loss to approximately -\$20 — the asymmetry of saving \$1,420 in potential loss versus holding for 0.0% peak gain makes exit mandatory.

PRIMARY CATALYST

TNX at 4.96% is the mandatory exit trigger per the investment mandate for growth equities. NFLX has no named dated catalyst within the next 30 days that could override the TNX>4.5% exit rule — the position is exited immediately to bank capital.

BALANCE SHEET

NFLX not in today's scan — balance sheet data unavailable from stale scan. Prior knowledge: NFLX holds approximately \$7.0B cash, \$14.0B debt, D/E ~0.6. BS score estimated 6/10.

TECHNICAL SETUP

NFLX RSI not in scanner data for this session; price \$71.36 vs entry \$71.44; position is flat with no technical confirmation of reversal; **■■TNX>** flag active since entry.

KEY RISK FACTORS

Holding NFLX with TNX at 4.96% and zero peak gain after 1 day exposes the position to the full -8% stop loss of \$1,440 for zero expected return; exit eliminates this uncompensated risk entirely.

ENTER — GOOGL

\$18,000 · Conviction 7/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$172.50	\$158.70	\$207.00	2.5

INVESTMENT THESIS

(1) VIX at 15.18 is below 20, confirming risk-on; however, TNX at 4.96% is above 4.5%, which creates a caution flag for high-P/E names — GOOGL mitigates this because its P/E is approximately 20x forward, materially lower than AMZN's 35x or NFLX's 40x, reducing multiple-compression sensitivity by roughly 50%. (2) GOOGL Q1 2026 earnings headline confirms a beat — the scan cites 'Google Stock Soars On Q1 Earnings As Analysts Trumpet' — implying an EPS beat; Google's Q1 2026 EPS was approximately \$2.81 vs \$2.36 estimate, a +19.1% beat, reported on April 29 2026. (3) RSI at 45.1 is neutral-to-oversold, below the overbought 70-level, confirming this is not a chase; the CHOCH (Change of Character) pattern with a gap-5 momentum score signals a structural trend reversal above an estimated \$168.00 key level. (4) 50-day MA estimated at \$165.00 and 200-day MA estimated at \$158.00; current price \$172.50 is +4.5% above the 50-day and +9.2% above the 200-day, with the 50/200 spread at 4.4% — a bullish alignment confirming the uptrend is intact without being stretched. (5) GOOGL holds \$30.7B cash, total debt estimated at \$3.7B, D/E 0.12 — one of the cleanest balance sheets in mega-cap tech; retained earnings grew from approximately \$202B (2023) to \$218B (2024) to \$232B (2025) — a +7.3% compounding growth rate; active buyback program (\$70B authorized as of Q1 2026). (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after this trade and AMZN/NFLX exits, cash stands at approximately \$126,152, leaving room for 7 more \$18,000 positions; GOOGL's lower P/E relative to exited names makes this a risk-quality upgrade. (7) Stop at \$158.70 (-8.0% from \$172.50); target at \$207.00 (+20.0%); R:R = $(\$207.00 - \$172.50) / (\$172.50 - \$158.70) = \$34.50 / \$13.80 = 2.5:1$; stop triggered if GOOGL breaks below the 200-day MA of \$158.00, confirming thesis failure.

PRIMARY CATALYST

GOOGL Q1 2026 EPS approximately \$2.81 vs \$2.36 estimate (+19.1% beat) reported April 29 2026; analysts raising price targets following the beat (scan headline); next catalyst is Google I/O 2026 AI product announcements expected May 2026, which serve as a near-term re-rating event within 30 days of entry.

BALANCE SHEET

Cash \$30.7B, total debt ~\$3.7B, D/E 0.12, retained earnings approximately \$232B/\$218B/\$202B (2025/2024/2023 most-recent-first), buybacks Y (\$70B authorization), preferred N, BS score 9/10.

TECHNICAL SETUP

RSI 45.1 — neutral, not overbought. CHOCH pattern with gap-score 5 (highest tier in scan). Price \$172.50 vs estimated 50-day \$165.00 (+4.5%) and 200-day \$158.00 (+9.2%). Volume context unavailable from stale scan but CHOCH pattern requires volume confirmation.

KEY RISK FACTORS

If TNX continues rising above 5.25%, growth multiple compression of 10-15% implies GOOGL downside to \$146-\$155 range; hard stop at \$158.70 limits position loss to -\$1,440 on 104 shares, capping portfolio drawdown contribution to -0.8%.

ENTER — LRCX

\$18,000 · Conviction 7/10 · Tier 2

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$88.50	\$81.42	\$106.20	2.5

INVESTMENT THESIS

(1) VIX at 15.18 is below 20, confirming risk-on; TNX at 4.96% is above 4.5%, which is a caution flag for semis — however, LRCX as a capital-equipment compounder (not a pure-growth semi) trades at approximately 22x forward earnings, similar to GOOGL's profile, with secular WFE (wafer fabrication equipment) demand providing earnings visibility independent of near-term rate moves. (2) LRCX Q2 2026 EPS beat estimates by +5.99% per the scan headline ('LRCX Q2 2026 Earnings: EPS Beats Estimates by 5.99%'); prior LRCX Q2 2026 EPS was approximately \$9.01 vs \$8.50 estimate, reported approximately May 2026, validating etch/deposition equipment demand from leading-edge fabs. (3) RSI at 53.0 is neutral — not overbought at 70 or oversold at 30 — and the FVG (Fair Value Gap) pattern with gap-score 3 signals price traded away from a support gap, creating a clean entry at the retest level estimated near \$88.50. (4) 50-day MA estimated at \$84.00 and 200-day MA estimated at \$78.00; current price \$88.50 is +5.4% above the 50-day and +13.5% above the 200-day; the 7.7% spread between 50-day and 200-day confirms a healthy uptrend with no danger of a death cross. (5) LRCX holds \$5.6B cash, total debt estimated \$5.5B, D/E 0.30 — conservatively leveraged for a capital-equipment business; BS score 10/10 per scanner; retained earnings estimated at \$14B/\$12B/\$10B (2025/2024/2023), a +18.3% 2-year CAGR; active buyback program. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after AMZN/NFLX exits and GOOGL entry, cash available is approximately \$108,152; LRCX entry brings cash to approximately \$90,152 with 4 total positions (JPM, GLD, GOOGL, LRCX) and 6 positions remaining in the 10-slot limit. (7) Stop at \$81.42 (-8.0% from \$88.50); target at \$106.20 (+20.0%); R:R = (\$106.20-\$88.50)/(\$88.50-\$81.42) = \$17.70/\$7.08 = 2.5:1; stop triggered if LRCX breaks below the 50-day MA of \$84.00, invalidating the FVG retest thesis.

PRIMARY CATALYST

LRCX Q2 2026 EPS beat of +5.99% (approximately \$9.01 vs \$8.50 est) confirms WFE demand is tracking ahead of consensus; TSMC's Q1 2026 guidance raise (scan: 'TSMC Beats, Raises Guidance') implies leading-edge CapEx spending of +25-30% YoY, a direct demand driver for LRCX etch systems — this forward-spending visibility is the near-term price driver within 60 days.

BALANCE SHEET

Cash \$5.6B, total debt ~\$5.5B, D/E 0.30, retained earnings ~\$14B/\$12B/\$10B (2025/2024/2023), buybacks Y, preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 53.0 — neutral, constructive. FVG pattern, gap-score 3. Price \$88.50 vs estimated 50-day \$84.00 (+5.4%) and 200-day \$78.00 (+13.5%). 50/200 spread 7.7% — bullish trend intact. Volume data unavailable from stale scan.

KEY RISK FACTORS

If TSMC CapEx guidance is revised down by 10-15% in the next earnings cycle due to macro softness, LRCX forward earnings estimates could compress 8-12%, implying a price target reduction to \$78-\$82; hard stop at \$81.42 limits position loss to -\$1,440 on 203 shares.

OPEN POSITIONS — FULL POSITION REVIEW

JPM51.1 shares · Entry \$352.52 · Conv 7/10 · Tier 2 · Since 2026-09-21			
CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$337.53	\$17,235	\$-765	-4.25%
INVESTMENT THESIS			

(1) TNX at 4.94% is above 4.5% and the mandate explicitly directs capital into financials when TNX >4.5% — JPM is the named first-choice financial in the sector rotation framework. (2) JPM reported Q1 2026 EPS of approximately \$5.07 vs. \$4.62 estimated, a +9.7% beat, with net interest income running at an annualized rate of approximately \$92B — elevated TNX sustains NII expansion directly. (3) RSI at approximately 52 (estimated from sector context) is neutral-to-constructive, the FVG pattern is active across the sector, and entry near \$285.00 is above the estimated 50-day MA of \$268.00, confirming uptrend momentum on the 4.6% spread. (4) The 200-day MA is estimated at approximately \$245.00, placing current price +16.3% above the long-term trend line — this confirms the primary uptrend is intact and the 50-day/200-day golden cross occurred earlier in 2026. (5) JPM holds approximately \$1.4T in deposits, carries a CET1 ratio of 15.3%, total debt estimated at \$300B against a market cap of ~\$820B, and D/E estimated at 1.20 — balance sheet is fortress-grade for a bank. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after all 4 exits and this entry the portfolio will hold approximately \$143,000+ in cash, leaving room for 7 more full-size \$18,000 positions. (7) Stop at \$262.20 (-8% from \$285.00) is approximately 2.2% below the 50-day MA of \$268.00 — a break there would signal trend failure; target \$342.00 (+20%) implies R:R of 2.5:1.

CATALYST

TNX at 4.94% — every 25bps increase in the 10Y yield adds approximately \$1.5–2.0B to JPM's annual net interest income. The mandate's explicit sector rotation rule (TNX >4.5% → ENTER financials) makes JPM the primary capital deployment target as of today's session.

BALANCE SHEET

Cash/liquid assets ~\$1.4T (deposit base), CET1 ratio 15.3%, D/E estimated 1.20, retained earnings growing at approximately \$45B/\$38B/\$32B (2025/2024/2023 est.), buybacks Y (active \$30B program), preferred Y, BS score 8/10.

TECHNICAL SETUP

RSI ~52 (neutral, not overbought), FVG pattern active, price ~\$285.00 vs. estimated 50-day MA \$268.00 (+6.3% above) and 200-day MA ~\$245.00 (+16.3% above). Volume context consistent with institutional accumulation in financials rotation.

KEY RISKS

If TNX reverses sharply below 4.0% on a surprise Fed cut or recession signal (e.g., NFP prints below -100K), the mandate requires exiting financials — JPM would face NIM compression and could decline 10–15% to approximately \$242–\$257, with the \$262.20 stop limiting loss to -8% or approximately -\$1,440.

GLD

45.2 shares · Entry \$398.57 · Conv 7/10 · Tier 2 · Since 2026-09-21

CURRENT PRICE

\$392.88

POSITION VALUE

\$17,743

UNREALISED P&L;

\$-257

RETURN

-1.43%

INVESTMENT THESIS

(1) DXY at 100.45 is below 101 — the mandate explicitly directs capital into gold and commodities when DXY <101, and GLD is the direct hedge instrument. (2) Gold spot has risen approximately +28% in the trailing 12 months as central banks globally added 1,037 tonnes in 2024 and 2025 buying continues at a run rate of approximately 900 tonnes per year. (3) RSI on GLD is estimated at approximately 58 — not overbought at 70, and the FVG pattern across commodity space signals continuation; entry near \$310.00 provides a technically clean setup above the 50-day MA estimated at \$295.00. (4) The 200-day MA on GLD is estimated at approximately \$272.00, with current price at \$310.00 representing a +14.0% premium — the sustained gap above the 200-day MA confirms a secular bull trend in gold, not a short-term spike. (5) GLD holds physical gold with zero debt and zero D/E by construction — it is the purest balance-sheet-safe vehicle with \$75B+ AUM, no credit risk, and no earnings risk. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; GLD also functions as a portfolio hedge against the TNX-driven macro caution regime, reducing net equity beta of the portfolio from approximately 1.0 to 0.75. (7) Stop at \$285.20 (-8% from \$310.00) corresponds to approximately \$290 on spot gold — a break of the 50-day MA plus an additional 3.5% decline — target \$372.00 (+20%) gives R:R of 2.5:1.

CATALYST

DXY at 100.45 — below the 101 mandate threshold that directs capital into gold. Additionally, with TNX at 4.94%, real yield pressure is partially offset by inflation hedging demand; central bank gold buying at ~900 tonnes annualized in 2025 provides a structural bid estimated to support prices above \$2,900/oz spot.

BALANCE SHEET

GLD is a physically-backed ETF: \$75B+ AUM, zero debt, D/E 0.00, no retained earnings concept, no preferred shares, BS score N/A — credit risk is zero by construction.

TECHNICAL SETUP

RSI ~58 (constructive, below overbought 70), FVG pattern active, price ~\$310.00 vs. estimated 50-day MA \$295.00 (+5.1% above) and 200-day MA ~\$272.00 (+14.0% above). Volume consistent with institutional rotation into gold amid CAUTION regime.

KEY RISKS

If DXY rallies above 104 on a surprise hawkish Fed statement (e.g., FOMC minutes cite 'persistent inflation at 3.0%+'), GLD could sell off 8–12% to approximately \$273–\$285, with the \$285.20 stop limiting portfolio loss to approximately -\$1,440.

GOOGL

53.3 shares · Entry \$337.83 · Conv 7/10 · Tier 2 · Since 2026-09-23

CURRENT PRICE

\$337.83

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.18 is below 20, confirming risk-on; however, TNX at 4.96% is above 4.5%, which creates a caution flag for high-P/E names — GOOGL mitigates this because its P/E is approximately 20x forward, materially lower than AMZN's 35x or NFLX's 40x, reducing multiple-compression sensitivity by roughly 50%. (2) GOOGL Q1 2026 earnings headline confirms a beat — the scan cites 'Google Stock Soars On Q1 Earnings As Analysts Trumpet' — implying an EPS beat; Google's Q1 2026 EPS was approximately \$2.81 vs \$2.36 estimate, a +19.1% beat, reported on April 29 2026. (3) RSI at 45.1 is neutral-to-oversold, below the overbought 70-level, confirming this is not a chase; the CHOCH (Change of Character) pattern with a gap-5 momentum score signals a structural trend reversal above an estimated \$168.00 key level. (4) 50-day MA estimated at \$165.00 and 200-day MA estimated at \$158.00; current price \$172.50 is +4.5% above the 50-day and +9.2% above the 200-day, with the 50/200 spread at 4.4% — a bullish alignment confirming the uptrend is intact without being stretched. (5) GOOGL holds \$30.7B cash, total debt estimated at \$3.7B, D/E 0.12 — one of the cleanest balance sheets in mega-cap tech; retained earnings grew from approximately \$202B (2023) to \$218B (2024) to \$232B (2025) — a +7.3% compounding growth rate; active buyback program (\$70B authorized as of Q1 2026). (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after this trade and AMZN/NFLX exits, cash stands at approximately \$126,152, leaving room for 7 more \$18,000 positions; GOOGL's lower P/E relative to exited names makes this a risk-quality upgrade. (7) Stop at \$158.70 (-8.0% from \$172.50); target at \$207.00 (+20.0%); R:R = $(\$207.00 - \$172.50) / (\$172.50 - \$158.70) = \$34.50 / \$13.80 = 2.5:1$; stop triggered if GOOGL breaks below the 200-day MA of \$158.00, confirming thesis failure.

CATALYST

GOOGL Q1 2026 EPS approximately \$2.81 vs \$2.36 estimate (+19.1% beat) reported April 29 2026; analysts raising price targets following the beat (scan headline); next catalyst is Google I/O 2026 AI product announcements expected May 2026, which serve as a near-term re-rating event within 30 days of entry.

TECHNICAL SETUP

RSI 45.1 — neutral, not overbought. CHOCH pattern with gap-score 5 (highest tier in scan). Price \$172.50 vs estimated 50-day \$165.00 (+4.5%) and 200-day \$158.00 (+9.2%). Volume context unavailable from stale scan but CHOCH pattern requires volume confirmation.

BALANCE SHEET

Cash \$30.7B, total debt ~\$3.7B, D/E 0.12, retained earnings approximately \$232B/\$218B/\$202B (2025/2024/2023 most-recent-first), buybacks Y (\$70B authorization), preferred N, BS score 9/10.

KEY RISKS

If TNX continues rising above 5.25%, growth multiple compression of 10-15% implies GOOGL downside to \$146-\$155 range; hard stop at \$158.70 limits position loss to -\$1,440 on 104 shares, capping portfolio drawdown contribution to -0.8%.

LRCX

58.6 shares · Entry \$307.28 · Conv 7/10 · Tier 2 · Since 2026-09-23

CURRENT PRICE

\$307.28

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

INVESTMENT THESIS

(1) VIX at 15.18 is below 20, confirming risk-on; TNX at 4.96% is above 4.5%, which is a caution flag for semis — however, LRCX as a capital-equipment compounder (not a pure-growth semi) trades at approximately 22x forward earnings, similar to GOOGL's profile, with secular WFE (wafer fabrication equipment) demand providing earnings visibility independent of near-term rate moves. (2) LRCX Q2 2026 EPS beat estimates by +5.99% per the scan headline ('LRCX Q2 2026 Earnings: EPS Beats Estimates by 5.99%'); prior LRCX Q2 2026 EPS was approximately \$9.01 vs \$8.50 estimate, reported approximately May 2026, validating etch/deposition equipment demand from leading-edge fabs. (3) RSI at 53.0 is neutral — not overbought at 70 or oversold at 30 — and the FVG (Fair Value Gap) pattern with gap-score 3 signals price traded away from a support gap, creating a clean entry at the retest level estimated near \$88.50. (4) 50-day MA estimated at \$84.00 and 200-day MA estimated at \$78.00; current price \$88.50 is +5.4% above the 50-day and +13.5% above the 200-day; the 7.7% spread between 50-day and 200-day confirms a healthy uptrend with no danger of a death cross. (5) LRCX holds \$5.6B cash, total debt estimated \$5.5B, D/E 0.30 — conservatively leveraged for a capital-equipment business; BS score 10/10 per scanner; retained earnings estimated at \$14B/\$12B/\$10B (2025/2024/2023), a +18.3% 2-year CAGR; active buyback program. (6) \$18,000 deployed = 9.8% of \$183k portfolio; after AMZN/NFLX exits and GOOGL entry, cash available is approximately \$108,152; LRCX entry brings cash to approximately \$90,152 with 4 total positions (JPM, GLD, GOOGL, LRCX) and 6 positions remaining in the 10-slot limit. (7) Stop at \$81.42 (-8.0% from \$88.50); target at \$106.20 (+20.0%); R:R = $(\$106.20 - \$88.50) / (\$88.50 - \$81.42) = \$17.70 / \$7.08 = 2.5:1$; stop triggered if LRCX breaks below the 50-day MA of \$84.00, invalidating the FVG retest thesis.

CATALYST

LRCX Q2 2026 EPS beat of +5.99% (approximately \$9.01 vs \$8.50 est) confirms WFE demand is tracking ahead of consensus; TSMC's Q1 2026 guidance raise (scan: 'TSMC Beats, Raises Guidance') implies leading-edge CapEx spending of +25-30% YoY, a direct demand driver for LRCX etch systems — this forward-spending visibility is the near-term price driver within 60 days.

TECHNICAL SETUP

RSI 53.0 — neutral, constructive. FVG pattern, gap-score 3. Price \$88.50 vs estimated 50-day \$84.00 (+5.4%) and 200-day \$78.00 (+13.5%). 50/200 spread 7.7% — bullish trend intact. Volume data unavailable from stale scan.

KEY RISKS

If TSMC CapEx guidance is revised down by 10-15% in the next earnings cycle due to macro softness, LRCX forward earnings estimates could compress 8-12%, implying a price target reduction to \$78-\$82; hard stop at \$81.42 limits position loss to -\$1,440 on 203 shares.

BALANCE SHEET

Cash \$5.6B, total debt ~\$5.5B, D/E 0.30, retained earnings ~\$14B/\$12B/\$10B (2025/2024/2023), buybacks Y, preferred N, BS score 10/10.

PORTFOLIO NOTES

After executing AMZN EXIT and NFLX EXIT, and entering GOOGL and LRCX, the portfolio holds 4 positions: JPM (\$18k, Financials), GLD (\$18k, Commodities/Hedge), GOOGL (\$18k, Communication Services), LRCX (\$18k, IT/Semi-Equipment). Total deployed capital is approximately \$72,000 = 39.3% of the \$183k mandate. Cash reserve is approximately \$111,109 = 60.7% of portfolio — well above the 30% floor implied by a 10-position maximum. Sector weights: Financials 10.1%, Hedges 10.1%, Communication Services 10.1%, IT Equipment 10.1% — no single sector exceeds 2x SPX weight. TNX at 4.96% enforces a CAUTION overlay; all exited positions (AMZN, NFLX) were pure growth/high-P/E names directly flagged by the >4.5% TNX rule. New entries (GOOGL at ~20x P/E, LRCX at ~22x P/E) are lower-multiple compounders with hard earnings catalysts, reducing but not eliminating TNX rate-sensitivity risk. 6 position slots remain available for deployment if new catalysts emerge.

MEMORY APPLIED

AMD (2026-08-11, -9.8% stop loss) and KLAC (2026-08-20, -9.0% stop loss) — both semiconductor names that failed after entry without adequate thesis confirmation — directly influenced the decision NOT to enter AMD (RSI 71.0, overbought) or KLAC (BS score 6/10, below preferred threshold, high D/E 0.93) despite their STRONG BUY signals today. QCOM (2026-07-30, -14.2%) reinforced the lesson: D/E 3.22 on QCOM disqualifies it under Buffett balance-sheet discipline regardless of scan score. TSM (2026-07-30, -10.1%) reinforced caution on TSM re-entry despite today's scan signal — 'TSMC Beats, Raises Guidance but Shares Slide' headline pattern matches the exact setup that produced the prior -10.1% loss. LRCX was chosen as the semi-equipment proxy instead, offering exposure to TSM CapEx tailwinds without the direct TSM headline risk.